CES Tech · MIRA ERP

Payroll: complete plan

Fully configurable payroll, from master data to payslips and reports, so Finance never needs a developer to change a rate, slab, component or dropdown.

Prepared 22 October 2026 · Based on the current MIRA code, the old payroll tool's settings (screenshots) and the Consolidated MOM of 22 Oct 2026.

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> All tax and statutory figures in this document are **examples to be confirmed by a CA**. The new Income-tax Act 2025 applies from 1 April 2026 and renumbers sections. That is exactly why every figure is stored as editable data, not code.

1. Where we are today, and problems to fix

In MIRA's code

- **Hardcoded tax and statutory rules** in the monthly run: PF 12% of Basic, ESI 0.75% at or below ₹21,000 gross, Professional Tax a flat ₹200 above ₹15,000, and **TDS = 10% of anything above ₹50,000 a month**, which is not how income tax works. Finance cannot change any of these.
- **Salary split settings live in three places** (salary template, payroll settings, offer-letter settings). An offer annexure and a payslip can disagree for the same CTC.
- **Components are only a name + Earning/Deduction.** No value, basis, conditions, taxable or loss-of-pay flags. Each employee's amounts are typed by hand.
- **Missing:** salary groups, tax regimes, slab tables, consultant TDS/GST, effective dates, salary revisions, and an audit log of setting changes.
- **Grades** use monthly gross; the MOM says grades are CTC-based.

In the old tool's settings (screenshots), to correct while moving data

Setting	Problem
Last TDS slab	Starts at ₹2,40,00,001 (2.4 crore) instead of ₹24,00,001, and stops at ₹1 crore. Income between ₹24 L and ₹2.4 Cr falls in no slab.
TDS slab table	Slabs only. No standard deduction, rebate, cess, surcharge or old regime.
EPF	Fixed ₹1,800 for everyone. Should be 12% of Basic capped at the ₹15,000 wage ceiling.
ESI 0.75%	Set as "% of Basic". ESI is normally on gross wages, and only at or below ₹21,000.
Variable Deduction 3.25%	3.25% is the employer's ESI rate; looks like the employer share entered as an employee deduction.
Other Deduction	Fixed ₹1,800 for all 30 people in the Employee group. Needs checking.
Professional Tax ₹200	Not in any group, and it depends on the state. Uttar Pradesh (Noida) has no PT.
Consultant TDS	Technical 2% on CTC, non-technical 10% on Basic (different bases). "Non-Technical Consultant with GST" has GST but no TDS.
Pay frequencies	Weekly / bi-weekly / semi-monthly kept on every component; CES pays monthly.

2. Design principles

1. **Everything is data.** Every rate, slab, component, group, formula and dropdown is edited on a screen.
2. **One calculation engine.** Offer annexure, onboarding, payroll preview, payslips and the calculator all call the same service.
3. **Effective dates.** A change applies from its date. Finalized payslips never change: they keep a copy of amounts and the rule version used.
4. **Safe editing.** Formulas are checked on save; a "try it" calculator shows the result before saving; nothing used on a payslip is deleted, only deactivated.
5. **Audit everything.** Who changed what, when, old value and new value.
6. **Permissions.** Finance edits payroll masters, HR views, the super admin has everything.

3. Old and new tax regimes

Each employee chooses a regime for each financial year. **New is the default** if they don't choose. MIRA stores both regimes as editable tables per financial year, and the engine works out monthly TDS from whichever one the employee picked.

Comparison (FY 2025-26 figures, to be confirmed for FY 2026-27)

	New regime (default)	Old regime
Slabs	0–4 L nil · 4–8 L 5% · 8–12 L 10% · 12–16 L 15% · 16–20 L 20% · 20–24 L 25% · above 24 L 30%	0–2.5 L nil · 2.5–5 L 5% · 5–10 L 20% · above 10 L 30% Higher nil limit for 60+ (3 L) and 80+ (5 L)
Standard deduction (salary)	₹75,000	₹50,000
Rebate (87A)	Up to ₹60,000 if taxable income ≤ ₹12 L, so **no tax up to ₹12.75 L salary**. Marginal relief just above.	Up to ₹12,500 if taxable income ≤ ₹5 L
Deductions allowed	Almost none. Employer NPS (80CCD(2)) allowed.	80C (₹1.5 L), 80CCD(1B) NPS (₹50,000), 80D health insurance, HRA exemption, LTA, home-loan interest (₹2 L), Professional Tax, and more
Cess	4% health and education cess on tax after rebate	
Surcharge	10% / 15% / 25% above ₹50 L / ₹1 Cr / ₹2 Cr (max 25%)	Same bands, up to 37% above ₹5 Cr

Worked example: taxable salary ₹10,00,000, ₹1.5 L invested in 80C

New regime
10,00,000 − 75,000 std = **9,25,000**
4 L × 5% = 20,000
1.25 L × 10% = 12,500
Tax 32,500 − rebate 32,500 = **₹0**

Old regime
10,00,000 − 50,000 std − 1,50,000 80C = **8,00,000**
2.5 L × 5% = 12,500
3 L × 20% = 60,000
72,500 + 4% cess = **₹75,400**

How MIRA will handle regimes

1. **Settings, per financial year:** a regime record with an editable slab table, standard deduction, rebate limit and maximum, marginal relief on/off, cess %, surcharge table and age-based nil limits. Next year's figures are added as a new version; last year's stay for history.
2. **Deduction sections master** (old regime): code, name, yearly limit, proof required, which regime it applies to. All editable as section numbers change under the new Act.
3. **Employee choice:** at the start of the year (or when joining), the employee picks a regime in their profile with a side-by-side comparison of their own estimated tax under both. Finance can lock the choice after a set date.
4. **Declarations:** in April the employee declares planned investments (old regime). In January–February they upload proofs; Finance approves or reduces amounts; TDS for the remaining months is corrected.
5. **Monthly TDS** = (projected yearly tax − TDS already deducted this year) ÷ months left. This spreads tax evenly and absorbs bonuses, revisions and arrears.
6. **Mid-year joiners** enter income and TDS from their previous employer (Form 12B) so the projection is right.
7. **Year end:** a TDS summary per employee for Form 24Q and Form 16.

> Rates above are the FY 2025-26 rules carried into FY 2026-27 as far as we know. Finance/CA must confirm before go-live, and enter them in the settings screen. No code change needed when they differ.

4. The plan, phase by phase

Phase 1 · Master data every list editable

- **Salary components:** name, code (e.g. BASIC, HRA), type (Earning / Deduction / Employer contribution / Info), **value type** (Fixed, % of CTC, % of Basic, % of Gross, Formula, Balance, Slab table, Entered monthly), cap on base (PF on Basic up to ₹15,000), condition (ESI only if gross ≤ ₹21,000), rounding, min/max, flags (part of CTC, taxable, reduced for LOP, on payslip, on annexure), order, active, effective from.
- **Salary groups:** name, pay type (Employee / Trainee / Consultant), components with per-group values, PF yes/no, ESI yes/no, tax method (regime slabs / flat % / none), GST yes/no and rate. The old tool's 7 groups move across, corrected.
- **Tax regimes and deduction sections** (section 3).
- **Statutory rates:** PF (employee %, employer %, EPS split, wage ceiling, admin charges), ESI (employee %, employer %, limit), Professional Tax slab table per state, LWF.
- **Contractor TDS and GST:** sections with rate and threshold; GST rates.
- **Grades:** annual CTC bands, km rate, costing rate.
- **Other dropdowns:** payment methods, pay frequency, contract lengths (6 m / 1 y / 2 y), worker types, states, currency, working days and hours for costing, payslip and annexure wording.

Phase 2 · One calculation engine and a salary calculator

- Input: CTC (or monthly gross), salary group, date, regime. Output: monthly and yearly breakdown, employer cost, net pay, estimated tax under both regimes.
- Formulas use component codes and are validated on save (no loops, no unknown codes).
- Calculator screen for Finance to compare with their Excel. Tests built from Finance's Excel examples.
- Replaces the hardcoded rules and merges the three old settings sources.

Phase 3 · Employee pay profile

- Salary group, annual CTC, effective date, regime, PAN, UAN/PF no., ESI no., bank details, payment method, component overrides with reason.
- Salary revisions with history; back-dated revisions add arrears to the next payslip. Grade set from CTC.

Phase 4 · Recruitment → offer → onboarding MOM P0/P1

- Offer: annual CTC + salary group → engine → annexure. On acceptance the annexure is **locked as version 1**. On joining the pay profile is created from it. Later changes go through an approved revision (and re-acceptance where needed).

Phase 5 · Monthly payroll run

- Lock attendance → monthly inputs (bonus, arrears, one-off deductions, approved expenses, loan recovery, leave encashment) → preview with warnings → calculate (LOP only on flagged components; TDS by projection) → approve → finalize (frozen) → mark paid → payslips by email/PDF.
- Reports: salary register, bank transfer file, PF ECR, ESI return, PT, TDS summary (24Q / Form 16), employer cost, department totals.

Phase 6 · Consultants and trainees

- Consultants: monthly fee, TDS at section rate, GST added when registered; payout statement. Trainees: fixed stipend, reduced only for unpaid leave.
- Proposed control (legal review): once PF appears on a finalized payslip, moving to a no-PF/consultant group needs approval.

Phase 7 · Costing and extras

- Hourly/daily cost = (CTC + employer contributions) ÷ (working days × hours), all editable; feeds project costing.
- Later: reverse calculation (target net → CTC), loans, Form 16 generation.

5. Complete flow, end to end



Who does what

Role	Can do
Finance	All payroll masters, calculator, monthly run, approve declarations, reports
HR	Offers and annexures, onboarding, view pay profiles, request revisions
Super admin	Everything, including final approval of revisions and payroll
Employee	Regime choice, declarations and proofs, own payslips and Form 16

6. Wireframes

Layouts only: final styling follows MIRA's existing screens.

W1 · Payroll Settings → Salary Components — **Finance**

Components | Salary Groups | Tax Regimes | Statutory | Contractor TDS/GST | Grades | Dropdowns | Audit log

Search components… | Import Excel | Export | + Add component

Code	Name	Type	Value	Rule	Flags	Effective from	
BASIC	Basic	Earning	50% of CTC (monthly)	—	CTC · Taxable · LOP	01-04-2026	Edit · History
HRA	House Rent Allowance	Earning	Formula: BASIC × 40%	—	CTC · Taxable · LOP	01-04-2026	Edit · History
SPECIAL	Special Allowance	Earning	Balance	—	CTC · Taxable · LOP	01-04-2026	Edit · History
PF_EE	Employee PF	Deduction	12% of BASIC	Base cap 15,000	Payslip	01-04-2026	Edit · History
ESI_EE	Employee ESI	Deduction	0.75% of GROSS	If GROSS ≤ 21,000	Payslip	01-04-2026	Edit · History
ESI_ER	Employer ESI	Employer	3.25% of GROSS	If GROSS ≤ 21,000	CTC	01-04-2026	Edit · History

One list for all components. "History" shows every past version with its dates.

W2 · Add / edit component — **modal**

Name * : House Rent Allowance
Code * : HRA
Type * : Earning
Value type * (editable list) : Formula
Formula : BASIC * 40%
✓ Valid · uses BASIC · try: CTC 6,00,000 → HRA 10,000/month
Base cap : —
Apply only if : Always
Rounding : Nearest rupee
Min / max per month : — / —
Effective from * : 01-04-2026
Display order : 2

☑ Part of CTC ☑ Taxable ☑ Reduce for loss of pay ☑ Show on payslip ☑ Show on annexure ☐ Exempt under old regime (HRA rules)

Cancel | Save as new version

W3 · Salary group — Finance

Name * Employee Salary Group | Pay type * Employee | Tax method * Income-tax regime slabs | GST Not applicable

☑ PF applies ☑ ESI applies (when eligible) ☑ Professional Tax by work state Employees: 30 · Manage employees

#	Component	Default value	Value in this group	
1	Basic	50% of CTC	use default	↑↓ ×
2	HRA	BASIC × 40%	use default	↑↓ ×
3	Travel Allowance	Fixed 1,600	2,000	↑↓ ×
4	Medical Allowance	Fixed 1,250	use default	↑↓ ×
5	Special Allowance	Balance	use default	↑↓ ×
6	Employee PF	12% of BASIC (cap 15,000)	use default	↑↓ ×

+ Add component | Preview with CTC… | Save

Consultant groups use tax method "Flat % (section)" plus GST; the trainee group has stipend only.

W4 · Tax regimes — Finance

Financial year 2026-27 | Copy from 2025-26 | New regime | Old regime

Slabs

From (₹)	Up to (₹)	Rate %	
0	4,00,000	0	×
4,00,001	8,00,000	5	×
8,00,001	12,00,000	10	×
12,00,001	16,00,000	15	×
16,00,001	20,00,000	20	×
20,00,001	24,00,000	25	×
24,00,001	*no limit*	30	×

+ Add slab ✓ No gaps or overlaps

Rules

Standard deduction 75,000 | Cess % 4

Rebate if taxable ≤ 12,00,000 | Maximum rebate 60,000

Marginal relief On | Default regime Yes

Surcharge

Income above	%
50,00,000	10
1,00,00,000	15
2,00,00,000	25

Test with income… | Save FY 2026-27

Old regime tab has the same layout plus age-based nil limits and the deduction sections list (80C, 80D, HRA, 24(b)…), each with a limit.

W5 · Statutory rates — Finance

PF

Employee %: 12 | Employer %: 12

EPS part %: 8.33 | Wage ceiling: 15,000

ESI

Employee %: 0.75 | Employer %: 3.25

Gross limit: 21,000 | Base: Gross

Professional Tax

State: Uttar Pradesh

No PT in this state

Edit slabs

Each block shows "Effective from" and a History link.

W6 · Dropdown masters — Finance

Payment methods

Bank transfer · UPI · Cheque · Cash

+ Add

Contract lengths

6 months · 1 year · 2 years

+ Add

Worker types

Employee · Trainee · Technical consultant · Non-technical consultant

+ Add

Value types

Fixed · % of CTC · % of Basic · % of Gross · Formula · Balance · Slab · Monthly input

Costing

Working days/month: 26 Hours/day: 8

☑ Include employer PF/ESI

Grades (annual CTC)

G1 0–3 L · G2 3–6 L · G3 6–12 L · G4 12 L+

Edit bands

W7 · Salary calculator — Finance · HR

Annual CTC: 6,00,000 | Salary group: Employee Salary Group | Work state: Uttar Pradesh | As on: 01-11-2026

Component	Monthly	Yearly
Basic	25,000	3,00,000
HRA	10,000	1,20,000
Travel + Medical	2,850	34,200
Special Allowance (balance)	10,350	1,24,200
Employer PF (in CTC)	1,800	21,600
Gross	**48,200**	**5,78,400**
Employee PF	−1,800	−21,600
Estimated TDS · new regime / old regime (no declarations)	0 / 1,576	0 / 18,907
Net pay (new regime)	**46,400**	**5,56,800**

Download Excel | Print annexure

Figures are illustrative. Finance uses this to check the engine against their Excel before any rule goes live.

W8 · Offer letter: salary step

HR · Recruitment

Annual CTC *: 6,00,000

Salary group *: Employee Salary Group

Grade (automatic): G2

Annexure preview (same engine as payroll)

Basic 25,000 · HRA 10,000 · Travel 1,600 · Medical 1,250 · Special 10,350 · Employer PF 1,800 → Monthly CTC 50,000

☐ Override a component (needs reason)

Back | Generate offer + annexure

When the candidate accepts: "Annexure v1 locked · 22-10-2026". On joining, the pay profile is created from v1.

W9 · Employee → Pay profile

Finance · HR (view)

Salary group: Employee Salary Group

Annual CTC: 6,00,000

Tax regime FY 26-27: New

Grade: G2

PAN: ABCDE1234F

UAN: 1012…

Payment method: Bank transfer

Bank / IFSC: HDFC · HDFC0001234

Revisions

Version	Effective	CTC	Group	Reason	Approved by
v2	01-10-2026	6,00,000	Employee	Appraisal	Super admin
v1	15-03-2026	5,20,000	Employee	Offer accepted	—

Component overrides | New revision

W10 · My tax (employee)

Employee

Choose your regime · FY 2026-27

	New	Old
Taxable income	5,03,400	5,28,400
Yearly tax	**0**	18,907

Pick New (lower) | Pick Old

Old regime shown before declarations · locks on 30-04-2026

Declarations (old regime)

Section	Declared	Proof
80C	1,50,000	Upload
80D	25,000	Upload
HRA rent	1,20,000	Rent receipts

+ Add | Submit

W11 · Monthly payroll run · October 2026 — Finance

1 Lock attendance | 2 Monthly inputs | **3 Preview** | 4 Approve | 5 Finalize | 6 Pay & payslips

Employees	Gross	Deductions	Net pay
51	**₹24.6 L**	**₹2.1 L**	**₹22.5 L**

⚠ 3 warnings: 2 without bank details · 1 net pay change over 20% vs September

Employee	Group	Paid days	Gross	LOP	TDS	Net	Flags
Amit Kumar	Employee	31	48,200	0	0	46,400	
Akshara Shukla	Employee	29	48,200	3,110	0	43,290	2 LOP
Ajay Sagar	Technical Consultant	31	60,000	0	1,200	58,800	No bank

Export register | Back to inputs | **Send for approval**

W12 · Payslip — Employee · PDF

CES Tech · Payslip October 2026

Regime: New · Paid days 31/31

Earnings	₹
Basic	25,000
HRA	10,000
Travel	1,600
Medical	1,250
Special	10,350
Total	**48,200**

Deductions	₹
Employee PF	1,800
TDS	0
LOP	0
Total	**1,800**

Net pay ₹46,400 · Year-to-date tax ₹0

W13 · Audit log — Finance · Super admin

When	Who	What	Old	New	Effective
22-10-2026 14:05	Finance user	ESI_EE base	% of Basic	% of Gross	01-11-2026
21-10-2026 11:40	Finance user	New regime slab 7	24,00,00,001 – 1,00,00,000	24,00,001 – no limit	01-04-2026
20-10-2026 17:12	Super admin	Revision · Amit Kumar	CTC 5,20,000	CTC 6,00,000	01-10-2026

7. Build order

Step	What	Screens	Why this order
1	Phase 1 masters + Phase 2 engine and calculator	W1–W7, W13	Everything else depends on these
2	Move the old tool's 7 groups (corrected); switch the monthly run to the engine	—	Removes hardcoded TDS / PF / ESI
3	Pay profiles, revisions, regime choice and declarations	W9, W10	Each employee gets their own pay record and tax setup
4	Offer → locked annexure → onboarding	W8	MOM P0
5	Run steps, approvals, reports; consultants and trainees	W11, W12	Monthly operations
6	Costing, reverse calculation, loans, Form 16	—	Lower priority

Questions for Finance (before step 2)

1. FY 2026-27 slabs, standard deduction, rebate, cess and surcharge for both regimes (CA to confirm under the new Income-tax Act).
2. Default regime for employees who don't choose, and the date the choice locks.
3. ESI base (gross or Basic), and whether "Variable Deduction 3.25%" is really the employer's ESI share.
4. PF on capped Basic (₹15,000) for everyone, or full Basic for some?
5. Professional Tax: which states do employees work in? (UP has none.)
6. Consultant TDS base (fee or CTC) and the missing TDS on "Non-Technical Consultant with GST".
7. What "Other Deduction ₹1,800" is.
8. Grade CTC bands; costing days and hours, and what goes into cost.
9. Who approves salary revisions and the monthly run (Finance head, super admin, both?).

> Nothing in this document changes how anyone is paid today. Current payroll keeps running until step 2 switches it to the new engine, after Finance has checked the calculator against their Excel.